

Uber Technologies Inc UBER ★★★ 7 May 2024 21:20, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
70.43 USD 7 May 2024	80.00 USD 14 Feb 2024 18:34, UTC	0.88	146.60 USD Bil 7 May 2024	 Narrow	 Large Growth	Very High	Standard	 1 May 2024 05:00, UTC

Sector	Industry
 Technology	Software - Application

Business Description

Uber Technologies is a technology provider that matches riders with drivers, hungry people with restaurants and food delivery service providers, and shippers with carriers. The firm's on-demand technology platform could eventually be used for additional products and services, such as autonomous vehicles, delivery via drones, and Uber Elevate, which, as the firm refers to it, provides "aerial ride-sharing." Uber Technologies is headquartered in San Francisco and operates in over 63 countries with over 150 million users who order rides or food at least once a month.

topline expansion. Adjusted EBITDA increased to 3.7% of gross bookings from last year's 2.4%, due to improved delivery margins.

Uber's efforts to build a recurring revenue stream also appear to be going well. Uber One adoption remains strong with members, accounting for almost a third of mobility and delivery gross bookings for the quarter. Encouragingly, member retention also tracked up 200 basis points year over year.

Business Strategy & Outlook Malik Ahmed Khan, CFA, Equity Analyst, 29 Feb 2024

Uber has become the largest on-demand ride-sharing provider in the world (outside of China). It has matched riders with drivers completing trips over billions of miles and, at the end of 2023, had 150 million customers using its ride-sharing or food delivery services at least once a month. In light of Uber's network effect between riders and drivers, as well as its accumulation of valuable user data, we believe the firm warrants a narrow moat rating.

Uber helps people get from Point A to Point B by taking ride requests and matching them with drivers available in the area. Uber generates gross booking revenue from this service (the firm's mobility segment), which is equivalent to the total amount that riders pay. From that, Uber keeps what remains after the driver takes their share.

As the pandemic spurred growth in demand for delivery services, Uber's business is now more diversified. The delivery segment remains resilient despite the receding pandemic while the ride-sharing business continues to rebound and grow impressively.

We view Uber as a leader in a fast-growing ride-sharing market, which we expect will reach more than \$600 billion in total (excluding China) by 2028. The firm faces stiff competition from players such as Lyft (mainly in the US). While Uber no longer operates in China, it does compete with Didi in other regions around the world. Globally, the market remains fragmented, and Uber competes with many local ride-sharing platforms and taxis. But we expect the firm to remain the leader in this market as its network effect grows.

Bulls Say Malik Ahmed Khan, CFA, Equity Analyst, 29 Feb 2024

- Uber's position in the autonomous vehicle race could equalize gross and net revenue, after no longer needing to pay drivers.
- Pressure to pay a minimum amount per trip to its contracted drivers could create a barrier to entry for smaller players, helping Uber in the long run.
- Uber's aggregation of multimodal offerings will drive in-app stickiness, making Uber a one-stop shop for all transport needs.

Bears Say Malik Ahmed Khan, CFA, Equity Analyst, 29 Feb 2024

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Competitors

	Uber Technologies Inc UBER	Lyft Inc Class A LYFT	DoorDash Inc Ordinary Shares - Class A DASH	Maplebear Inc CART
	 Fair Value 80.00 Uncertainty: Very High Last Close 70.43	 Fair Value 25.00 Uncertainty: Very High Last Close 16.60	 Fair Value 135.00 Uncertainty: Very High Last Close 115.56	 Last Close 37.52 Fair Value 33.00 Uncertainty: Very High
Economic Moat	Narrow	Narrow	Narrow	None
Currency	USD	USD	USD	USD
Fair Value	80.00 14 Feb 2024 18:34, UTC	25.00 9 Aug 2023 04:56, UTC	135.00 2 May 2024 00:22, UTC	33.00 29 Nov 2023 18:45, UTC
1-Star Price	140.00	43.75	236.25	57.75
5-Star Price	40.00	12.50	67.50	16.50
Assessment	Fairly Valued 7 May 2024	Undervalued 7 May 2024	Fairly Valued 7 May 2024	Fairly Valued 7 May 2024
Morningstar Rating	★★★ 7 May 2024 21:20, UTC	★★★★ 7 May 2024 21:20, UTC	★★★ 7 May 2024 21:20, UTC	★★★ 7 May 2024 21:20, UTC
Analyst	Malik Ahmed Khan, Equity Analyst	Malik Ahmed Khan, Equity Analyst	Malik Ahmed Khan, Equity Analyst	Malik Ahmed Khan, Equity Analyst
Capital Allocation	Standard	Standard	Standard	Standard
Price/Fair Value	0.88	0.66	0.86	1.14
Price/Sales	3.95	1.45	5.03	1.61
Price/Book	13.03	12.36	6.75	2.66
Price/Earning	80.95	—	—	—
Dividend Yield	—	—	—	—
Market Cap	146.60 Bil	6.69 Bil	47.25 Bil	9.98 Bil
52-Week Range	37.07—82.14	7.85—20.82	62.83—143.34	22.13—42.95
Investment Style	Large Growth	Small Value	Large Growth	Small Core

- The development of autonomous vehicles, and especially Alphabet's Waymo, could eliminate the need for all existing ride-share platforms, driving Uber and Lyft out of business.
- Ride-sharing is still a relatively new industry, which leaves plenty of room for increasing regulations that could hurt the company.
- Uber's public perception has suffered in recent years because of data breaches and bad culture of sexual misconduct and internal racial discrimination issues.

Economic Moat Malik Ahmed Khan, CFA, Equity Analyst, 28 Feb 2024

In our view, Uber Technologies' core business, the ridesharing platform, benefits from network effects and valuable intangible assets in the form of user data. We think these maintainable competitive advantages will help Uber to become profitable and generate excess returns on invested capital. For this reason, we assign Uber a narrow moat rating.

Uber's network effects benefit drivers and riders, creating a continuous virtuous cycle. As a first mover in this market, where requests for rides from anywhere could be made in real time via a simple-to-use

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mobile app, Uber began to attract riders mainly via word of mouth. Growth in demand and further word-of-mouth marketing attracted drivers, or, in other words, increased the supply of Uber vehicles. In turn, as the number of drivers has increased, the timeliness and reliability of the service has improved, driving the number of users, which in turn attracts more drivers, all of which indicates a network effect. Uber was able to accelerate this network effect by focusing on smaller areas, such as San Francisco, before expanding into more cities.

Demand is driven not only by more users but also likely by more rides per user. Globally, Uber's monthly average platform consumers, or MAPC, and the number of trips provided support our network effect assumption. Since the peak of the covid-19 pandemic, total MAPCs and trips, along with trips per MAPC have returned to solid growth rates.

Plus, increasing supply is based on both more drivers and increasing capacity utilization of each driver and vehicle. Network effects, by definition, not only allow new network participants to benefit but also existing ones. Thus, the riders on the platform benefit as more drivers are added, and existing drivers benefit from more riders, making the driver's utilization even more efficient.

While Uber has benefited nicely from network effects, we don't believe it benefits from customer switching costs. In our view, the ride-sharing industry lacks barriers to entry or exit for customers and drivers. Both customers and drivers can easily switch to Lyft or other competing platforms, while customers also have other transportation options like taxis and public transit. In general, just as firms with network effects benefit from the positive flywheel effect when a network expands, they also run the risk of a negative flywheel if customers, drivers, or both start to depart, especially when the network lacks meaningful switching costs. Networks in tech are strong when faring well but can unwind quickly (think MySpace).

In early 2017, Uber faced much criticism for appearing to support an immigration order signed by then-President Donald Trump and attempting to profit from protests related to that event in New York City, both of which led to the #deleteUber campaign launched on Twitter and eventually tainted the Uber brand and reputation. Then-CEO Travis Kalanick was appointed to Trump's economic advisory council, to which some employees at Uber objected. The lack of exit barriers and switching costs for riders and drivers was on display during this period, as other ride-sharing providers, such as Lyft, made headway in New York City and experienced faster growth in trips as riders easily downloaded apps for other services. While we witnessed a slight pause in Uber's network effect in 2017, the firm's return to faster growth in trips provided supports our assumption that the platform still benefits from the network effect.

In our view, Uber's ride-sharing network effect has also helped the firm tap into other markets and generate additional revenue streams. An example is the delivery market, in which Uber has gained

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traction with its Uber Eats service. According to data from Bloomberg Second Measure, Uber is now the number two player in the delivery business, below DoorDash, both of whom quickly displaced the former market leader, Grubhub.

Regarding the network effect, the same can be said about Uber extending its reach into the bike-sharing and freight brokerage markets. Perhaps a good comparison for adjacent network effects, where one strong network enables a firm to expand elsewhere, is Microsoft: Its dominant network around Windows allowed it to leverage its strength into the productivity software market with Microsoft Office. Similarly, Uber's strength in ridesharing is leverageable elsewhere.

As Uber benefits from its network effect, we think it gains access to valuable intangible assets in the form of user data, which we suspect helps the firm improve its services and increase its vehicles' capacity utilization. In turn, Uber's service may become more effective as it further monetizes its riders via real-time supply and demand-driven pricing. Uber may also use this extensive data and knowledge to tap into other markets as it has in advertising.

Uber gathers data about riders and drivers. As the firm compiles data from the rider app about the location and timing of ride requests, Uber can get a clearer picture of its users' tendencies. When combined with the user-generated driver ratings, we think such information helps Uber improve the timeliness of matching riders with drivers. Such overall enhancement in service could help the firm strengthen its network effect by increasing users and ride requests per user, which helps Uber gather additional data, possibly further increasing the overall value of the data.

Simply put, data can also be considered an indirect network effect moat source. Google's search engine is an example of the benefits of indirect network effects associated with data, as more searches have led to better algorithms, better results, and in turn, more searches. Similarly, more rides with Uber may lead to better algorithms and supply/demand balance, thus reducing wait times for riders and idle capacity for drivers, leading to more ride requests.

Fair Value and Profit Drivers Malik Ahmed Khan, CFA, Equity Analyst, 14 Feb 2024
Our \$80 fair value estimate represents an enterprise value of 3.9 times our 2024 revenue estimate. We project that Uber's revenue over the next five years will grow 14% annually, on average.

We expect revenue to grow faster than portions of Uber's cost of revenue—including hosting, transaction processing, and insurance costs—which will result in gross margin expansion. With the network effect economic moat source, we think Uber should also be able to increase revenue at a faster pace than selling, general, and administrative costs, especially in the sales and marketing lines, while also spending relatively less on operations and support costs.

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However, we anticipate that R&D will remain elevated as Uber is likely to invest in new ventures within the on-demand delivery services market, though we expect declines in R&D as a percentage of net revenue as well. We assume the firm will remain profitable in 2024 and beyond and we expect operating margin expansion to nearly 14% by 2028.

Risk and Uncertainty Malik Ahmed Khan, CFA, Equity Analyst, 28 Feb 2024

Uber faces intense competition in the US from Lyft, which has gained market share. In addition, it remains possible that Lyft out-innovates Uber to emerge as a winner-take-all (or most) ride-sharing provider. Plus, there are certain concerns about whether Uber's network effect can remain an economic moat source if the firm is forced to incur additional costs imposed through regulations at the municipal, state, and/or federal levels. For example, Uber may be forced to conduct more thorough background checks on all driver applicants, such as adding costlier fingerprinting to the driver application process everywhere in the US, although the firm already conducts an annual background check on all its drivers. Such concern is also an ESG risk related to human capital as lack of enough background checks may put riders at risk and lessen the quality of the firm's services. At the same time, more driver and rider data gathering may increase the data privacy and security ESG risk for the firm.

Other regulatory issues may also serve to inhibit Uber's network effect benefits. Concerns include whether Uber will have to pay a minimum amount to each driver or courier per trip. While the firm may have to concede and implement such policies, it will also likely take an overall higher percentage from the gross revenue generated per ride, as its price is likely to remain competitive with Lyft's. Lack of enough compensation and/or benefits is also a human capital ESG risk, in our view, which can lead to drivers jumping to other platforms and reversing the firm's network effect. We note that both dominating firms in the US, Uber and Lyft, are likely to demand higher take rates.

There also lies the risk of larger technology companies such as Alphabet's Waymo, or car companies such as General Motors' Cruise, more aggressively pursuing the growing ride-sharing market.

Capital Allocation Malik Ahmed Khan, CFA, Equity Analyst, 28 Feb 2024

We assess the Capital Allocation Rating for Uber as Standard.

We view Uber's balance sheet as sound with net debt of \$4.5 billion. We expect the firm to remain profitable.

On the investment front, we view management's performance as fair. While as a first mover the firm aggressively launched ridesharing platforms in many markets around the world, various bumps on the road such as differences in cultures, laws, and their enforcements prevented the firm from grabbing the number one or two positions in those markets. However, we also applaud Uber's decision to sell those operations for equity stake in the market leaders such as Didi and Grab. The firm also sold its

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autonomous vehicle technology business to Aurora, in which with some additional investments, Uber now has a 25% stake.

The firm has also made sound acquisitions of various platforms that we think will further enhance and expand its mobility and delivery business segments. They include the acquisitions of the ridesharing platform provider in the Middle East, Careem, plus delivery competitor Postmates, grocery delivery platform Cornershop, and logistics technology provider Transplace.

Uber does not distribute dividends and currently does not have a share repurchase program. We applaud management as we believe the firm should continue to allocate capital toward innovation and growth.

While Uber's legal issues under Kalanick, the former CEO who no longer owns any shares in Uber, gave it a tainted reputation (involving everything from data breaches swept under the rug to a culture of sexual misconduct and accusations of not addressing internal racial discrimination issues) the firm has seen better days under Dara Khosrowshahi, the firm's current CEO. Khosrowshahi also has a seat on Uber's board of directors.

After joining Uber in September 2017, Khosrowshahi launched successful campaigns that repaired the firm's image. In addition, he completed an investment deal with Softbank, settled legal disputes with Waymo, and agreed to purchase the leading ridesharing service provider in the Middle East, Careem. Plus, he has led the firm to profitability on a non-GAAP basis and with positive free cash flow. Prior to Uber, Khosrowshahi was the CEO of Expedia for nearly 12 years. Prior to Expedia, he was also the CFO of IAC/InterActiveCorp.

Analyst Notes Archive

Uber: The Flywheel Keeps Turning and Likely Will Award the Patient Narrow-Moat Uber Shareholders Ali Mogharabi, Senior Equity Analyst, 14 Feb 2024

We are increasing our Uber fair value estimate to \$80 from \$74 as the firm provided better-than-expected margin expansion guidance during its analyst day. Uber's expectations regarding the top-line growth and its drivers were in line with our projections. On the margin front, while we had already assumed lower user acquisition costs going forward due to the strong network effect, it was still above Uber's guidance. Plus, the firm expects implementation of artificial intelligence to reduce its customer support costs as a percentage of gross bookings. Overall, the network effect moat source, a leaner operation, and continuing gross bookings and revenue growth are likely to create further operating leverage and drive impressive 30%-40% average annual adjusted EBITDA growth the next three years, with more than a 90% free-cash-flow conversion. The Uber board also announced a \$7 billion share buyback authorization.

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We were pleased that while the factors behind Uber's gross bookings outlook of a mid- to high-teens average annual growth the next three years are mainly more consumers and order frequency, the firm expects prices to remain flat, which demonstrates the further strengthening of Uber's network effect as aggressive pricing won't be necessary to maintain or increase market share. This is also good news for Lyft, the second and only other remaining ride-sharing participant in the U.S. With more confidence in pricing, Lyft can focus more on attracting drivers to its platform.

Uber expects margin expansion going forward helped by top-line growth and lower consumer acquisition costs as the flywheel continues to bring in new consumers. The firm likely will more effectively cross-sell its variety of offerings, increasing user monetization at much lower costs. In addition to customer support becoming slightly fixed due to the application of AI, continuing strong growth in the higher margin advertising revenue will also expand margins.

Uber Earnings: Uber Delivers on the Profitability Front, Which Will Grow Impressively With Revenue

Ali Mogharabi, Senior Equity Analyst, 7 Feb 2024

We are increasing our Uber fair value estimate to \$74 from \$68. The firm continues to execute on all fronts, further strengthening its network effect moat source as displayed by fourth-quarter results that included growth in users, requests, frequency, user monetization, and suppliers.

Uber’s efforts to further diversify its services are bearing fruit as grocery delivery is on pace to represent more than 5% of Uber’s total gross bookings. With stronger cross-selling capabilities due to the network effect, Uber is likely to attract and maintain more users and limit growth on other platforms, including no-moat Instacart. Growth on the delivery side is also driving higher-margin advertising revenue impressively higher. On the mobility side, while Uber is enjoying continuing growth in drivers, Lyft has increased its efforts to veer a few toward its platform more often as its mobility platform remains a bit undersupplied.

We did not make significant adjustments to our revenue projections but are now assuming speedier and higher-margin expansion as Uber’s flywheel is further lessening customer and driver/courier acquisition costs, in addition to the firm now operating leaner. We are confident that Uber will remain GAAP profitable this year and beyond.

Gross bookings came in at \$37.6 billion (up 22% year over year), driven by growth in mobility (29%) and delivery (19%), partially offset by a decline in freight. Total net revenue increased 15% to \$9.9 billion, with lower delivery take rates mainly due to changes in business models in some markets that had no impact on the bottom line. The Uber platform’s flywheel continued to spin, shown by an increase in users (15%), orders (24%), order frequency (8%), average gross booking per order (1%), and drivers (30%).

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Adjusted EBITDA increased to 3.4% of gross bookings from last year's 2.2%, due to improved delivery margins. Free cash flow of \$768 million was a significant improvement from the \$303 million cash-burn last year.

Uber Earnings: The Platform Is More Easily Attracting Demand and Supply; Shares Remain Undervalued Ali Mogharabi, Senior Equity Analyst, 7 Nov 2023

Demand for Uber's mobility and delivery remained high as indicated by third-quarter results, which showed GAAP profitability for the second consecutive quarter. While the numbers continue to display the firm's network effect moat source, we were more impressed with Uber's ability to gain traction in more markets and increase adoption of more non-UberX products like Uber for Business, taxi platform, and shared rides, further driving growth. We are maintaining our \$68 fair value estimate and still view the shares of narrow-moat Uber as attractive.

Uber's gross bookings increased 21% year over year to \$35.3 billion, led by an increase in mobility (31%) and delivery (18%), slightly offset by a decline in freight (down 27%). Total net revenue was up 11% to \$9.3 billion, impacted by changes in business models in some markets that lowered take rates but had no impact on the bottom line. Without those changes, mobility and delivery net revenue would have grown impressively at 35% and 19% from last year, respectively. The Uber platform's flywheel continued to spin, shown by an increase in users (15%), orders (25%), order frequency (9%), and average gross booking per order (8%), accommodated by strong supply, as the number of drivers and couriers hit a record 6.5 million. Freight revenue declined 27% as demand in that market remains low.

Total adjusted EBITDA of \$1.1 billion (3.1% margin) was up from last year's \$516 million (1.8% margin), helped by the top-line growth, including the high-margin advertising revenue. This, combined with the firm's cost control and increased efficiency, drove margin expansion in mobility (up 60 basis points to 7.2%) and delivery (up 130 basis points to 2.6%). Sales and marketing as a percentage of net revenue was down for the third consecutive quarter as the network effect further reduced consumer acquisition costs. Uber also reduced its headcount by 1%, and management said it expects that to increase only slightly or to remain flat in 2024.

Uber Earnings: Operating Profitability Hits as Supply Side of Network Effect Remains Intact Ali Mogharabi, Senior Equity Analyst, 1 Aug 2023

We are maintaining our \$68 fair value estimate on Uber and continue to view its shares as attractive even after doubling year-to-date. The platform's network effect continued to strengthen with an increase in users, trips, revenue generated per user, and per trip. On the bottom line, Uber reported its first-ever GAAP operating profit as top-line growth and lower user acquisition costs created operating leverage. We expect margin expansion to continue, driven by a return to growth in the freight segment, continuing growth in high-margin advertising, growth in Uber One, and further streamlining of mobility

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and delivery.

In our view, stabilization or strengthening of the job market will not threaten the platform's supply side nor pressure margins much. Most drivers and couriers have been using the platform as a source of additional income and not necessarily a full-time job. At least 90% work less than 40 hours per week, 60% less than 20, and 40% less than 10.

Gross bookings increased to \$33.6 billion (16% increase) and resulted in net revenue of \$9.2 billion (up 14%). Mobility gross bookings and net revenue grew 25% and 38%, respectively. Delivery gross bookings increased 12%, while net revenue was up 14%. Strong demand and supply on the platforms pushed take rates of the two segments up 270 basis points and 20 basis points, respectively, from last year. An increase in user count (12%) and total requests (22%), drove usage to 5.55 times per month from last year's 5.11. The supply side (drivers and couriers) increased 33%, and hours worked per driver increased 7% year over year. These improvements pushed user monetization 13% higher than last year.

Freight revenue, which represents 14% of total net revenue, declined 30% as consumer demand for goods continues to trail that of services, according to the firm.

Uber: Strong Network Effect Has Brought Domino's Onboard

Ali Mogharabi, Senior Equity Analyst, 13 Jul 2023

We are maintaining our \$68 fair value estimate for narrow-moat Uber and continue to view the stock as attractive. Uber's network effect moat source, which we had assumed was present long before the firm's IPO, continues to drive restaurants of all sizes to the platform—the suppside of the platform is strengthening. The latest one is Domino's which had long been against working with third-party order and delivery aggregators like Uber. Domino's announced a global agreement with Uber which allows Uber Eats users to order Domino's directly on the platform. However, Domino's will continue to make the deliveries. Domino's change of strategy displays Uber Eats' network effect, which as it has brought more smaller pizza shops and other restaurants onboard, has attracted more consumers, thus attracting more restaurants. We think Domino's have realized that exposure to Uber's strong network effect and its more than 130 million monthly users (including mobility and delivery users) is beneficial in the long run.

We have not made any adjustments to our model. We do not expect this agreement to affect Uber's revenue significantly as the firm's average take rate on Domino's is likely very low. However, without the delivery service, most of that Uber revenue share could drop to the bottom line. We also think that Domino's could begin marketing on Uber Eats, which could also result in high-margin revenue. Our confidence in the firm becoming full-year GAAP-profitable in 2024, which we have already modeled, has increased.

This new agreement will be first piloted in a few markets and then made available across the United States by the end of this year. In addition, the deal is a global one as Uber and Domino's service 27

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common international markets.

Uber Earnings: Network Effect Is in Full Motion Ali Mogharabi, Senior Equity Analyst, 2 May 2023

We are maintaining our \$68 fair value estimate for narrow-moat Uber Technologies. The network effect economic moat source is coming to fruition as demand on the firm's platform increases and consumer and driver acquisition costs decline; together, this is driving top-line growth and margin expansion. The moat is also creating more pressure on the few competitors that remain, including Lyft in the United States. While we think Lyft has also benefited from higher demand, higher driver incentives likely pressured its margins. DoorDash remains the clear delivery market leader, but it may need to diversify its business to bring in more couriers, which is why we still think that an acquisition of Lyft by DoorDash would be the right strategy.

Uber yet again generated free cash flow during the first quarter, and it is considering returning cash to shareholders, demonstrating confidence that it will expand margins. In our view, Uber shares remain attractive.

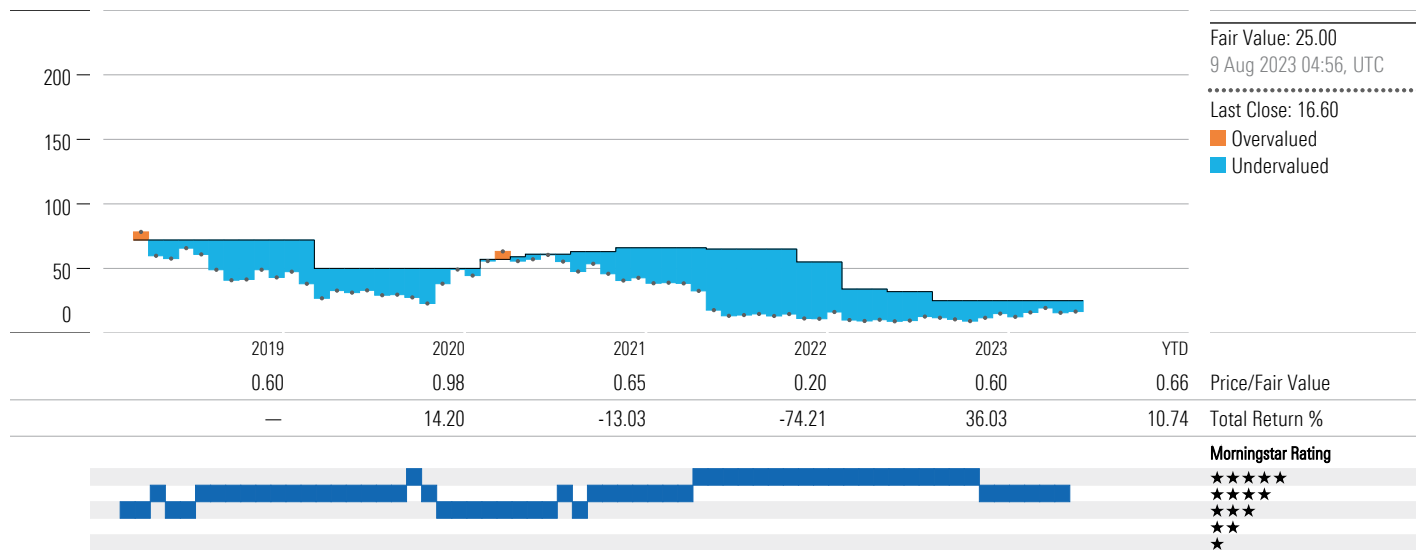
Total gross bookings increased 19% year over year to \$31.4 billion, with 40% growth in mobility and 8% growth in delivery. On a constant-currency basis, gross bookings in those segments increased 43% and 12%. Demand remained high, with an increase in user count (13%) and total requests (24%), which drove usage frequency to 5.45 uses per month per user during the quarter from 4.97 last year. In mobility, as we expected, the flywheel is bringing in more drivers, which hit an all-time high, while driver incentives continued to decline (down 42% in the U.S. and Canada). Overall user monetization based on revenue increased 31% from last year.

Mobility and delivery revenue increased 72% and 23%, respectively, while freight revenue declined 23% mainly due to economic uncertainties. The mobility and delivery segments generated positive adjusted EBITDA of \$1.1 billion and \$288 million, representing 7.1% and 1.9% margins (as a percentage of gross bookings), respectively, up from last year's 5.8% and 0.2%. ■■■

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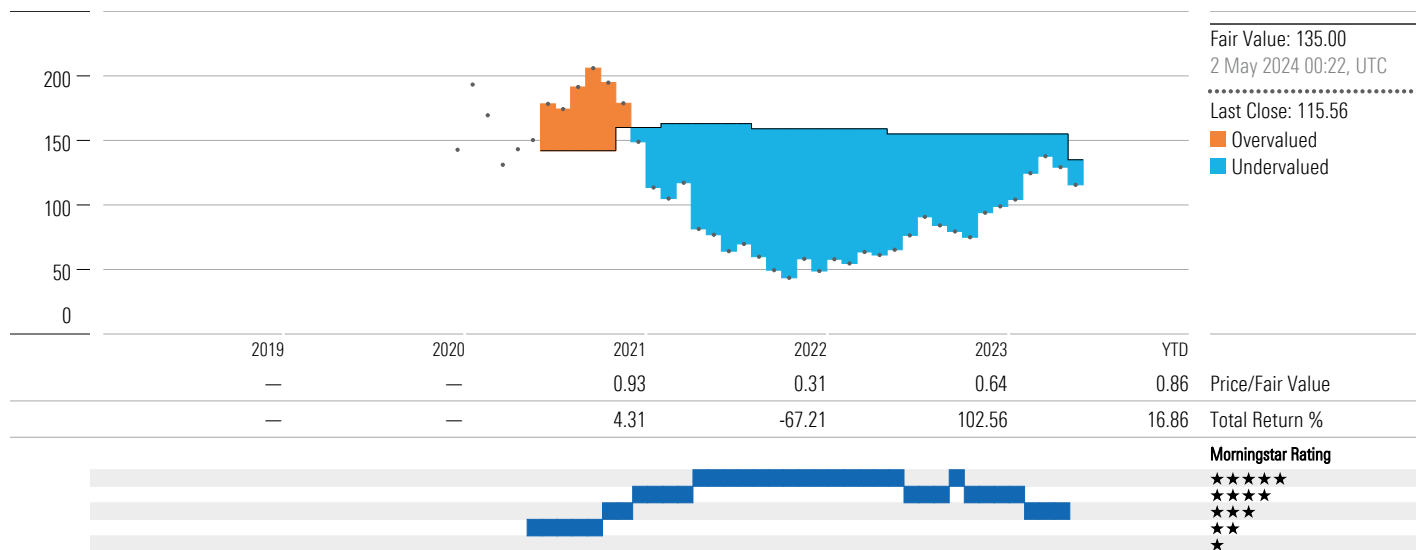
Competitors Price vs. Fair Value

Lyft Inc Class A LYFT



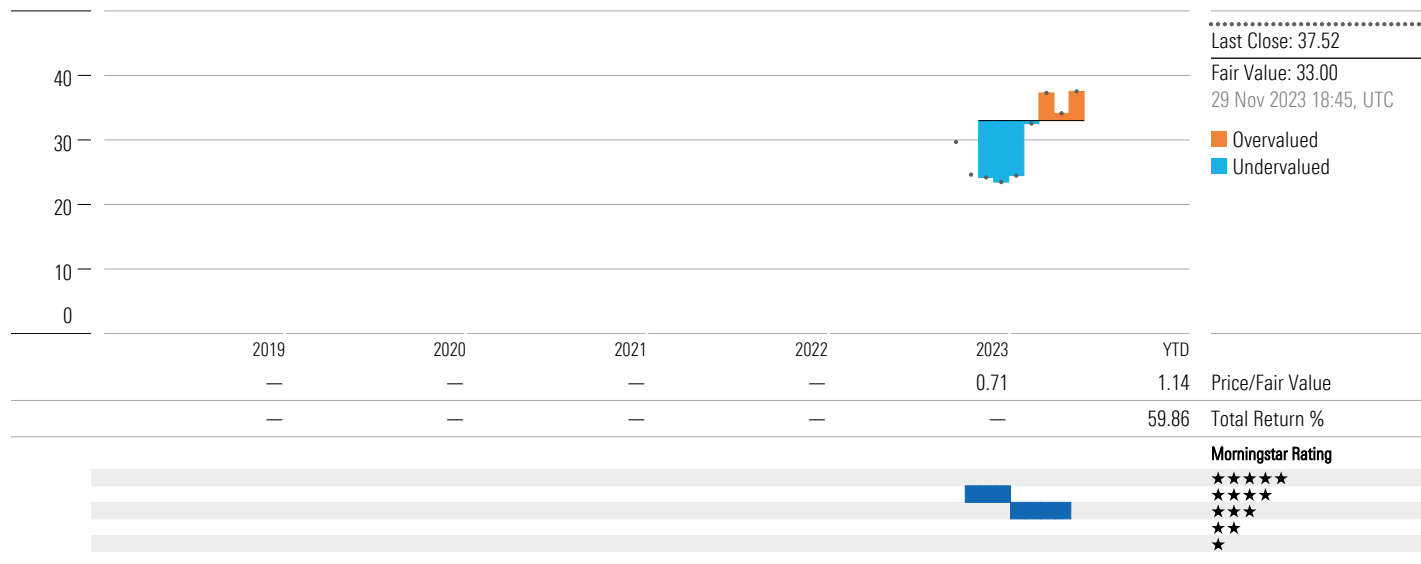
Total Return % as of 7 May 2024. Last Close as of 7 May 2024. Fair Value as of 9 Aug 2023 04:56, UTC.

DoorDash Inc Ordinary Shares - Class A DASH



Total Return % as of 7 May 2024. Last Close as of 7 May 2024. Fair Value as of 2 May 2024 00:22, UTC.

Maplebear Inc CART



Total Return % as of 7 May 2024. Last Close as of 7 May 2024. Fair Value as of 29 Nov 2023 18:45. UTC.

Uber Technologies Inc UBER ★★★

7 May 2024 21:20, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
70.43 USD 7 May 2024	80.00 USD 14 Feb 2024 18:34, UTC	0.88	146.60 USD Bil 7 May 2024	Narrow	Large Growth	Very High	Standard	1 May 2024 05:00, UTC

Morningstar Historical Summary

Financials as of 31 Dec 2023

Fiscal Year, ends 31 Dec	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	YTD	TTM
Revenue (USD K)	—	—	3,845,000	7,932,000	10,433,000	13,000,000	11,139,000	17,455,000	31,877,000	37,281,000	37,281,000	37,281,000
Revenue Growth %	—	—	—	106	31.5	24.6	-14.3	56.7	82.6	17.0	17.0	17.0
EBITDA (USD K)	—	—	-2,537,000	-3,586,000	2,386,000	-7,402,000	-5,913,000	360,000	-7,914,000	3,777,000	3,777,000	3,777,000
EBITDA Margin %	—	—	-66.0	-45.2	22.9	-56.9	-53.1	2.1	-24.8	10.1	10.1	10.1
Operating Income (USD K)	—	—	-3,023,000	-4,080,000	-3,033,000	-8,596,000	-4,863,000	-3,834,000	-1,832,000	1,110,000	1,110,000	1,110,000
Operating Margin %	—	—	-78.6	-51.4	-29.1	-66.1	-43.7	-22.0	-5.8	3.0	3.0	3.0
Net Income (USD K)	—	—	-370,000	-4,033,000	997,000	-8,506,000	-6,768,000	-496,000	-9,141,000	1,887,000	1,887,000	1,887,000
Net Margin %	—	—	-9.6	-50.8	0.0	-65.4	-60.8	-2.8	-28.7	5.1	5.1	5.1
Diluted Shares Outstanding (K)	—	—	1,525,531	1,092,241	1,092,241	1,248,353	1,752,960	1,895,519	1,974,928	2,091,782	2,091,782	2,091,782
Diluted Earnings Per Share (USD)	—	—	-0.25	-3.69	0.00	-6.81	-3.86	-0.29	-4.65	0.87	0.87	0.87
Dividends Per Share (USD)	—	—	—	—	—	—	—	—	—	—	—	—

Valuation as of 30 Apr 2024

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	Recent Qtr	TTM
Price/Sales	—	—	—	—	—	3.9	6.8	5.2	1.7	3.5	4.3	3.7
Price/Earnings	—	—	—	—	—	-8.8	-15.2	-32.8	-5.5	119.0	88.5	76.3
Price/Cash Flow	—	—	—	—	—	-15.8	-23.6	-68.0	62.1	50.3	44.8	38.6
Dividend Yield %	—	—	—	—	—	—	—	—	—	—	—	—
Price/Book	—	—	—	—	—	3.4	9.8	5.9	7.9	13.6	14.2	12.3
EV/EBITDA	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.2	0.0	0.0	0.0	0.0

Operating Performance / Profitability as of 31 Dec 2023

Fiscal Year, ends 31 Dec	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	YTD	TTM
ROA %	—	—	—	-26.1	0.0	-30.5	-20.8	-1.4	-25.8	5.3	5.3	5.3
ROE %	—	—	—	—	—	-250	-51.2	-3.7	-83.9	20.3	20.3	20.3
ROIC %	—	—	—	—	—	-76.9	-29.1	-0.7	-39.6	9.9	9.9	9.9
Asset Turnover	—	—	—	0.5	0.5	0.5	0.3	0.5	0.9	1.1	1.1	1.1

Financial Leverage

Fiscal Year, ends 31 Dec	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	Recent Qtr	TTM
Debt/Capital %	—	—	—	—	—	34.2	42.6	43.0	59.8	49.5	49.5	—
Equity/Assets %	—	—	—	—	—	44.7	36.9	37.3	22.9	29.1	29.1	—
Total Debt/EBITDA	—	—	—	—	—	-1.0	-1.6	30.8	-1.4	3.0	3.0	—
EBITDA/Interest Expense	Infinite	Infinite	-7.6	-7.5	3.7	-13.2	-12.9	0.7	-14.0	6.0	6.0	6.0

Morningstar Analyst Historical/Forecast Summary as of 08 May 2024

Financials						Forward Valuation				
Fiscal Year, ends 31 Dec 2023	2022	2023	Estimates			2022	2023	Estimates		
			2024	2025	2026			2024	2025	2026
Revenue (USD Mil)	31,877	37,281	43,485	50,145	56,895	Price/Sales	1.5	3.4	3.4	2.9
Revenue Growth %	82.6	17.0	16.6	15.3	13.5	Price/Earnings	-5.3	59.8	95.2	51.8
EBITDA (USD Mil)	1,713	3,868	5,571	7,237	8,742	Price/Cash Flow	—	—	—	—
EBITDA Margin %	5.4	10.4	12.8	14.4	15.4	Dividend Yield %	—	—	—	—
Operating Income (USD Mil)	-1,832	1,110	3,017	4,611	6,126	Price/Book	6.3	10.8	11.6	9.9
Operating Margin %	-5.8	3.0	6.9	9.2	10.8	EV/EBITDA	32.4	34.3	27.4	21.1
Net Income (USD Mil)	-9,138	2,156	1,546	2,834	4,075					
Net Margin %	-28.7	5.8	3.6	5.7	7.2					
Diluted Shares Outstanding (Mil)	1,975	2,092	2,092	2,082	2,073					
Diluted Earnings Per Share(USD)	-4.63	1.03	0.74	1.36	1.97					
Dividends Per Share(USD)	0.00	0.00	0.00	0.00	0.00					

Uber Technologies Inc

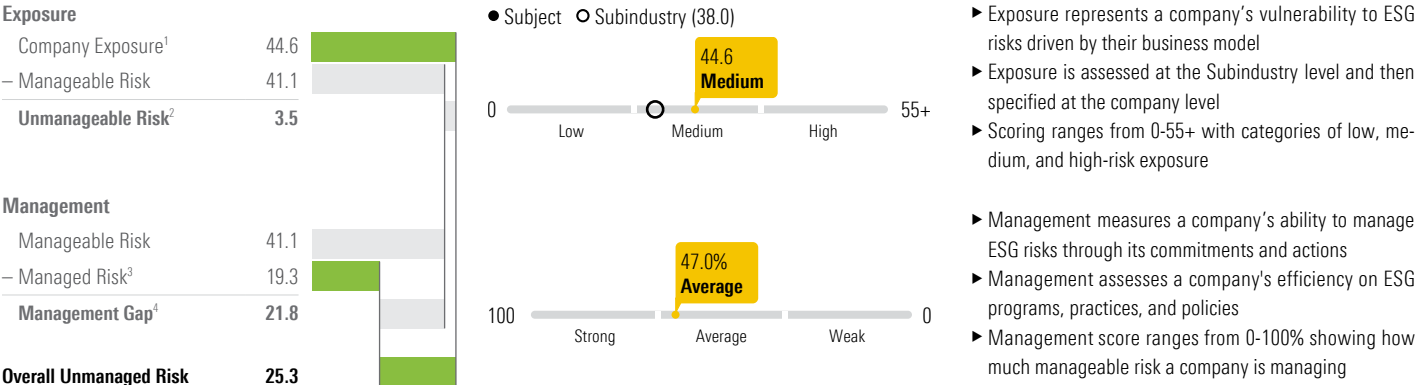
UBER

★★★

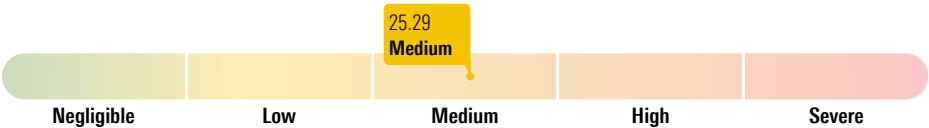
7 May 2024 21:20, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
70.43 USD	80.00 USD	0.88	146.60 USD Bil	Narrow	Large Growth	Very High	Standard	
7 May 2024	14 Feb 2024 18:34, UTC		7 May 2024					1 May 2024 05:00, UTC

ESG Risk Rating Breakdown



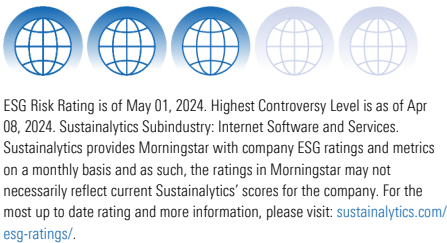
ESG Risk Rating



ESG Risk Ratings measure the degree to which a company’s value is impacted by environmental, social, and governance risks, by evaluating the company’s ability to manage the ESG risks it faces.

1. A company’s Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 47.0% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment⁵



Peer Analysis 01 May 2024	Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values							
Company Name	Exposure			Management			ESG Risk Rating	
Uber Technologies Inc	44.6 Medium	0	55+	47.0 Average	100	0	25.3 Medium	0 40+
Alphabet Inc	39.7 Medium	0	55+	42.1 Average	100	0	24.2 Medium	0 40+
Lyft Inc	37.5 Medium	0	55+	44.7 Average	100	0	21.9 Medium	0 40+
DoorDash Inc	35.4 Medium	0	55+	40.8 Average	100	0	22.0 Medium	0 40+
—	— —	0	55+	— —	100	0	— —	0 40+

Appendix

Historical Morningstar Rating

Uber Technologies Inc UBER 7 May 2024 21:20, UTC

Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
—	—	—	—	—	—	—	★★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★★	★★★★★	★★★★★	★★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★★	★★★
Dec 2020	Nov 2020	Oct 2020	Sep 2020	Aug 2020	Jul 2020	Jun 2020	May 2020	Apr 2020	Mar 2020	Feb 2020	Jan 2020
★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2019	Nov 2019	Oct 2019	Sep 2019	Aug 2019	Jul 2019	Jun 2019	May 2019	Apr 2019	Mar 2019	Feb 2019	Jan 2019
★★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	—	—	—	—

Lyft Inc Class A LYFT 7 May 2024 21:20, UTC

Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
—	—	—	—	—	—	—	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2020	Nov 2020	Oct 2020	Sep 2020	Aug 2020	Jul 2020	Jun 2020	May 2020	Apr 2020	Mar 2020	Feb 2020	Jan 2020
★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2019	Nov 2019	Oct 2019	Sep 2019	Aug 2019	Jul 2019	Jun 2019	May 2019	Apr 2019	Mar 2019	Feb 2019	Jan 2019
★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★★	★★★	★★★	—	—

DoorDash Inc Ordinary Shares - Class A DASH 7 May 2024 21:20, UTC

Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
—	—	—	—	—	—	—	★★★	★★★	★★★	★★★★	★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★	★★	★★	★★	★★	—	—	—	—	—
Dec 2020	Nov 2020	Oct 2020	Sep 2020	Aug 2020	Jul 2020	Jun 2020	May 2020	Apr 2020	Mar 2020	Feb 2020	Jan 2020
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2019	Nov 2019	Oct 2019	Sep 2019	Aug 2019	Jul 2019	Jun 2019	May 2019	Apr 2019	Mar 2019	Feb 2019	Jan 2019
—	—	—	—	—	—	—	—	—	—	—	—

Maplebear Inc CART 7 May 2024 21:20, UTC

Dec 2024 —	Nov 2024 —	Oct 2024 —	Sep 2024 —	Aug 2024 —	Jul 2024 —	Jun 2024 —	May 2024 ★★★	Apr 2024 ★★★	Mar 2024 ★★★	Feb 2024 ★★★	Jan 2024 ★★★★
Dec 2023 ★★★★	Nov 2023 ★★★★	Oct 2023 —	Sep 2023 —	Aug 2023 —	Jul 2023 —	Jun 2023 —	May 2023 —	Apr 2023 —	Mar 2023 —	Feb 2023 —	Jan 2023 —
Dec 2022 —	Nov 2022 —	Oct 2022 —	Sep 2022 —	Aug 2022 —	Jul 2022 —	Jun 2022 —	May 2022 —	Apr 2022 —	Mar 2022 —	Feb 2022 —	Jan 2022 —
Dec 2021 —	Nov 2021 —	Oct 2021 —	Sep 2021 —	Aug 2021 —	Jul 2021 —	Jun 2021 —	May 2021 —	Apr 2021 —	Mar 2021 —	Feb 2021 —	Jan 2021 —
Dec 2020 —	Nov 2020 —	Oct 2020 —	Sep 2020 —	Aug 2020 —	Jul 2020 —	Jun 2020 —	May 2020 —	Apr 2020 —	Mar 2020 —	Feb 2020 —	Jan 2020 —
Dec 2019 —	Nov 2019 —	Oct 2019 —	Sep 2019 —	Aug 2019 —	Jul 2019 —	Jun 2019 —	May 2019 —	Apr 2019 —	Mar 2019 —	Feb 2019 —	Jan 2019 —

Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, in-depth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss short-term market-price movements), but we believe these negatives are mitigated by deep analysis and our long-term approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our single-point star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as re-

turns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in working capital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBIT) and the net new investment (NNI) to de-

rive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBIT over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

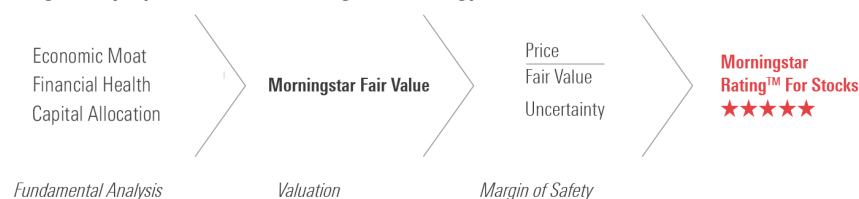
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future outcomes for the intrinsic value of a company, and any-

Morningstar Equity Research Star Rating Methodology



Research Methodology for Valuing Companies

thing that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

Margin of Safety		
Qualitative Analysis	★★★★★ Rating	★ Rating
Uncertainty Ratings		
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

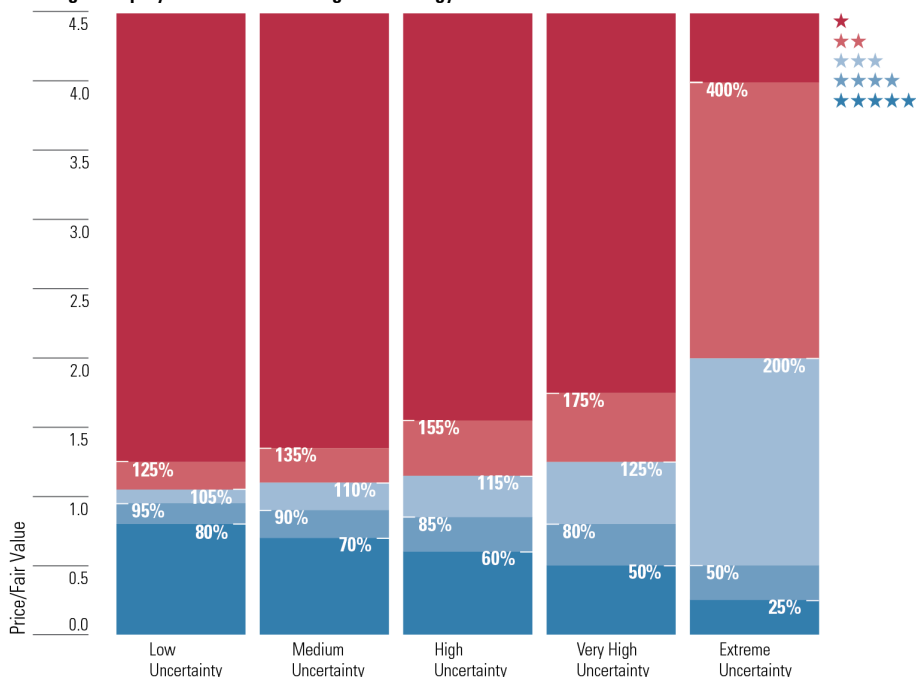
4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to <https://shareholders.morningstar.com>

Morningstar Star Rating for Stocks

Morningstar Equity Research Star Rating Methodology



Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk ad-

justed return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider compan-

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ies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

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The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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